Kill Note — Brazil Household Credit Regime

Allington Framework · Decision: **NOT PURSUED (KILLED)** · Kill date: 26 Oct 2026 · Note written: 2 Nov 2026
Provenance: v0.1 regime memo committed to public GitHub repo *Regime-Memo-Brazil-Household-Credit-Draft* on runoff night (25 Oct 2026), before the result.

1. Summary

The regime is killed on both legs. Lula's runoff win (25 Oct) removed the pre-registered entry condition for the institutional DI steepener and, in the same session, delivered the steepening the leg was designed to capture: the inverted DI curve flipped to positively sloped on 26 Oct. The retail leg (Nu Holdings puts) is killed because the broad Brazil equity selloff on 26 Oct compressed NU by ~20%, realising much of the targeted downside on a country-risk repricing rather than the credit mechanism. Neither leg now offers an asymmetric entry that justifies capital allocation.

2. Thesis as originated

Household delinquencies keep rising on debt taken up under Caixa/Desenrola programmes while the government attempts deficit reduction, forcing a credit constraint that (a) derates Nu Holdings' growth premium and (b) pressures the fiscal path and the long end of the DI curve. Validation signal: system-wide 15–90 and 90+ day NPLs rising YoY on a quarterly basis.

Leg	Expression	Pre-registered entry rule
Institutional	Brazil DI 1y–5y steepener (long DI1 puts as preferred structure if IV/hist vol allowed)	Enter **only if Flávio Bolsonaro won** the 25 Oct runoff — expecting an initial flattening under a fiscally conservative leader, giving a cheap steepener entry.
Retail	NU Dec-2027 puts (IV/hist vol ~80% at assessment)	Entry after the runoff; later deferred toward the Q4'26 results trigger.

3. What happened

Election. Lula won the runoff with ~51.8% to Flávio Bolsonaro's ~48.2% — the first candidate since 1989 to win a runoff after finishing second in round one.

DI curve, 26 Oct. B3 widened DI trading limits twice; the 2028, 2029 and 2031 contracts halted at limit. The front end moved far less than the belly and long end, so the inversion was erased within the morning:

DI contract	Prior settlement	26 Oct, ~09:50 BRT	Change
Jan-27	13.465%	13.89%	+42.5bp
Jan-28	12.855%	14.915%	+206bp
Jan-29	12.64%	15.03%	+239bp
Jan-31	12.64%	15.25%	+261bp
Jan-27/Jan-31 slope	–82.5bp (inverted)	+136bp (positive)	**~+218bp steepening**

A separate close-of-day report puts the session moves at +30bp on Jan-27 and +307bp on Jan-31 — a slope change of roughly +277bp. Either way, a full steepening move occurred on day one. Morgan Stanley's post-result scenarios framed further upside in Jan-29 DIs (16.50% bear case) as dependent on whether the new government commits to spending cuts.

Equities, 26 Oct. NU fell ~20–22% from a $15.16 close on 23 Oct to roughly $11.8–11.9; EWZ fell ~21% intraday and the Ibovespa closed –13.88% after a circuit-breaker halt. The move tracked a broad repricing of Brazilian risk (ITUB, BBD, MELI, XP all sold off), not a Nu-specific credit or earnings event.

4. Why each leg is killed

Institutional — DI steepener. The entry condition (Bolsonaro win) did not occur, so no position was opened. Under the realised branch, the steepening the leg targeted arrived immediately and violently: the curve went from inverted to positively sloped in one session. Entering now means buying the steepener after the repricing, with the remaining move contingent on Lula's fiscal choices rather than on the household-credit mechanism this

regime was built on. The edge was the mechanism; what remains is a fiscal-headline bet.

Retail — NU puts. The ~20% compression on 26 Oct closes much of the distance between spot and the downside the puts were meant to capture, and put premiums on the same strikes are now dearer (higher intrinsic value and post-shock vol). The risk/reward no longer justifies allocating capital. Second, the selloff contaminates validation: further NU downside can no longer be cleanly attributed to the credit mechanism (rising NPLs) versus country-risk repricing, so even a winning trade would not evidence the thesis.

Data limitation. Pre- and post-selloff put premiums and IV on the target strike were not recorded. Sizing and expected-value work were still at an early stage of the regime documentation when the kill condition fired, so the expression kill rests on the spot move rather than a logged option-pricing comparison.

5. Thesis vs expression — what was and wasn't falsified

- **Not falsified:** the household-credit mechanism. No NPL data has invalidated it; the kill is on price and entry conditions.
- **Expression killed:** both legs — the asymmetry each was designed to capture has been realised by an exogenous political repricing.
- **Directionally right, not captured:** the DI steepening the institutional leg targeted did occur, but under the branch where the pre-registered rule said stand aside.

6. Lessons carried forward

- **Plan both branches of a binary catalyst.** The entry rule covered only the Bolsonaro branch. Under Lula, the thesis-consistent move happened at the open with no plan to capture it. Future binary-event regimes need a pre-registered action (enter, stand aside, or size) for every outcome, with scenario probabilities set before the event.
- **Separate the mechanism from the catalyst that moves the price.** Here the political catalyst dominated the credit mechanism, so price action stopped being evidence for the thesis. A validation signal must be one the expression's price would respond to only through the mechanism.
- **The discipline held.** No capital was committed on a rule that did not fire, and the regime was killed the day the condition failed.

7. Re-open conditions (not planned)

- DI: curve re-flattens/re-inverts on a credible spending-cut commitment, restoring a cheap steepener entry with the credit mechanism as driver.
- NU: quarterly 15–90 and 90+ NPLs rising YoY while NU recovers toward pre-election levels and put IV/hist vol returns to ~80% or below.

Sources

El Fondo, 'Brazil DI interest rate futures surge and hit trading limits' (26 Oct 2026) — DI settlement and intraday levels.

BigGo Finance, 'Brazil Stocks Plunge 17% After Lula's Re-election' — Jan-27/Jan-31 session changes; Ibovespa close.

Investing.com/Reuters, 'Analysts forecast Brazil market plunge after Lula turnaround win' — Morgan Stanley scenarios.

TIKR, 'Nu Holdings Sinks 22% on Lula's Win'; TickerSpark (26 Oct 2026) — NU prices and drivers.

Stocktwits (26 Oct 2026) — EWZ intraday move; gktoday / Bernama — runoff result.